



GAMING



Mastercard denies
pressuring game
platforms, Valve tells a
different story

The outcry after a recent marketplace crackdown on games with adult content, seemingly due to pressure from payment processors, prompted Mastercard to release [a brief statement](#) Friday pushing back against recent headlines.

“Mastercard has not evaluated any game or required restrictions of any activity on game creator sites and platforms, contrary to media reports and allegations,” the company said, adding, “At the same time, we require merchants to have appropriate controls to ensure Mastercard cards cannot be used for unlawful purchases, including mega adult content.”

IMAGE CREDITS:

ROBERTO MACHADO NOA/LIGHTROCKET / GETTY

IMAGES
This follows [an open letter](#) by the advocacy group Collective Shout addressed to executives at PayPal, Mastercard, Visa, and other companies, criticizing them for allowing the sale of “No Mercy” and other games that depict rape, incest, and child sexual abuse.

In the following weeks, Steam announced that it would ban games that violate the rules of its “payment processors and related card networks and banks.” Then [Itch.io](#) said it was [removing games with adult content](#) from its browse and search pages while conducting a broader audit.

While Mastercard’s statement seems to undermine the narrative that payment and card companies were the ones pressuring the game marketplaces,

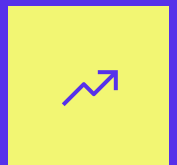
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Steam owner Valve responded with a statement of its own, [provided to PC Gamer](#) and other gaming sites.

According to Valve, “Mastercard did not communicate with Valve directly, despite our request to do so. Mastercard communicated with payment processors and their acquiring banks. Payment processors communicated this with Valve, and we replied by outlining Steam’s policy since 2018 of attempting to distribute games that are legal for distribution.”

Valve said its response was “rejected” by the payment processors, who noted the “risk to the Mastercard brand” and pointed to a Mastercard rule against “illegal or brand-damaging transactions.”

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Meanwhile, Itch.io said that it’s now [re-indexing free games with adult content](#) while negotiating with payment processors, including Stripe, which

for its part said it's "unable to support sexually explicit content" due to "banking partners."

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Anthony Ha



Anthony Ha is TechCrunch's weekend editor. Previously, he worked as a tech reporter at Adweek, a senior editor at...

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STARTUPS



Payment platform Lava raises \$5.8M to build digital wallets for the 'agent-native economy'

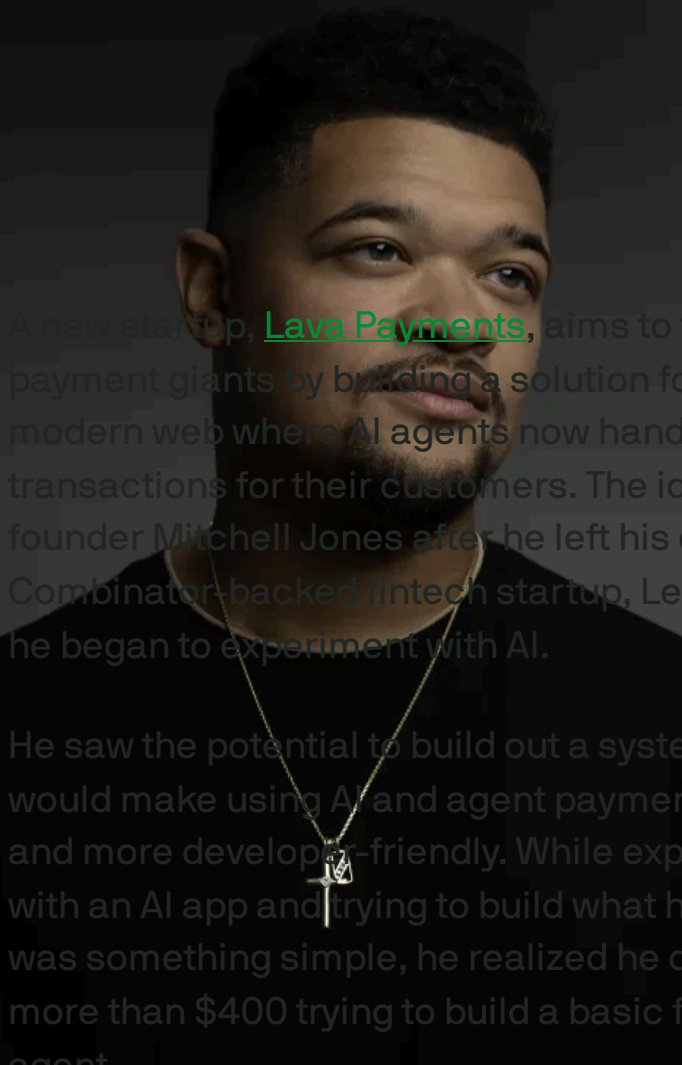


IMAGE CREDITS: JJ JUMOC-CASAS

A new startup, [Lava Payments](#), aims to take on payment giants by building a solution for the modern web where AI agents now handle transactions for their customers. The idea came to founder Mitchell Jones after he left his earlier Y Combinator-backed fintech startup, Lendtable, as he began to experiment with AI.

He saw the potential to build out a system that would make using AI and agent payments simpler and more developer-friendly. While experimenting with an AI app and trying to build what he thought was something simple, he realized he quickly spent more than \$400 trying to build a basic form-filling agent.

"I kept running into the same issue," he told

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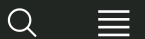
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Lava is a digital wallet that lets merchants use usage credits to facilitate transactions.

The idea is that one set of credits working across merchants and services makes it easier for autonomous agents to make payments without needing human intervention. It works like this: A merchant can enable the Lava wallet for their customers to use and upload (credits) money to. Once a customer does that, they can take that money and use it at any merchant that also accepts Lava and any of the foundational models, like GPT and Claude, on a “pay as you go basis,” Jones said.

So, rather than having to pay for each tool, a user buys a one-time usage credit that AI agents can simply charge as they perform various tasks. No more asking the user to approve transaction after transaction.

“Without Lava, agents can’t move smoothly through the internet because they constantly get blocked when it comes time to pay,” he said. He used Google as an example, saying every time a person opens Google Maps, they don’t have to pay Google for that map, as they’ve already paid Verizon and AT&T to access the internet.

On Wednesday, the startup announced a \$5.8 million seed round led by Lerer Hippeau.

Others in this space include startups like [Metronome](#).

“We see the world as very interconnected,” Jones said about what makes his product different. “What we’re really focused on is building [for the] agent-native economy.”

Born to a working family in Dayton, Ohio, Jones said his parents always told him the best way to get

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ahead was to work hard, save money, and get a good education.

“You know, a lot of the things that most people are told,” he recalled, when speaking with TechCrunch.

Jones took that advice to heart. He got a good education (Yale), held some good jobs (Goldman, Meta), and then founded some companies (the fintechs Parable and Lendtable, the latter of which was YC S20).

Jones said he met his lead investors for Lava because he went to high school with [Will McKelvey, now an investor at Lerer Hippeau](#). He said McKelvey has been following his career for a while and always wanted to work together someday, and Lava Payments was that someday.

Others in the round included Harlem Capital, Streamlined Ventures, and Westbound. The fresh capital will be used for hiring, building products, and developing go-to-market strategies.

Overall, Jones is ready for Lava to be the “invisible layer that kind of powers the AI web,” he says, especially as AI agents find themselves more and more in the checkout line.

“We should be enabling agents to move, transact, and build without friction,” he said.

“We want to make sure that AI is something that can be used by every single person, even a kid from Dayton, like myself.”

The title of this piece was updated to properly reflect what the company does.

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AI



Two arrested for smuggling AI chips to China — Nvidia says no to kill switches

The U.S. Department of Justice (DOJ) [said](#) on Tuesday that two Chinese nationals have been arrested for their alleged involvement in illegally shipping tens of millions of dollars' worth of high-performance AI chips to China.

The DOJ said Chuan Geng and Shiwei Yang were arrested in California on August 2 and charged with violating the Export Control Reform Act, a felony that carries a statutory penalty of a maximum of 20 years in prison.

Geng and Yang are accused of knowing and willfully shipping “sensitive technologies,” including GPUs, to China from the U.S. through their California-based company, ALX Solutions.

IMAGE CREDITS: BLACKJACK3D / GETTY IMAGES

The DOJ did not name the company whose chips ALX Solutions was allegedly smuggling, but quoting a complaint, it said the chip is “the most powerful chip in the market” and is “designed specifically for AI applications.” That description makes it likely that the chips being smuggled were made by Nvidia. A [report by Reuters](#) specifically named Nvidia’s H100 GPUs as the chips being shipped.

A review of export documents by the DOJ found that ALX Solutions sent chips and other tech to shipping and freight-forwarding companies in Singapore and Malaysia, but received payments from entities in Hong Kong and China in return. The department also found records of communication regarding

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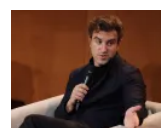
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shipping the tech to Malaysia to specifically go around U.S. export restrictions.

“This case demonstrates that smuggling is a nonstarter,” an Nvidia spokesperson said in a statement. “We primarily sell our products to well-known partners, including OEMs, who help us ensure that all sales comply with U.S. export control rules. Even relatively small exporters and shipments are subject to thorough review and scrutiny, and any diverted products would have no service, support, or updates.”

The news comes as the U.S. tries to figure out how to strike a balance between fostering global AI innovation and imposing export restrictions to China, which many in the West perceive to be a major threat in the AI race. The Trump administration’s recently announced [AI Action Plan](#) belabored the importance of having strong export restrictions but was light on details.

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One potential solution to curb chip smuggling that has been suggested by the U.S. government in recent days is to [implement tracking technology into chips](#) to help catch smuggling, but chipmakers are quite opposed to such a move.

In a [blog post on Tuesday](#), Nvidia said its GPUs do not include kill switches or backdoors, and argued that building in such tools would only result in compromising security.

“Nvidia has been designing processors for over 30 years. Embedding backdoors and kill switches into chips would be a gift to hackers and hostile actors,” the company wrote. “It would undermine global digital infrastructure and fracture trust in U.S. technology. Established law wisely requires companies to fix vulnerabilities — not create them.”

“That’s not sound policy. It’s an overreaction that would irreparably harm America’s economic and national security interests,” Nvidia wrote.

Nvidia did not immediately return requests for additional comment.

For more on the semiconductor industry’s tumultuous year so far, here’s a [regularly updated timeline](#) of market news since the beginning of 2025.

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